



TERRAHASH ENERGY LLC

Registered in the Cayman Islands - Established 2013

*U.S. Headquarters: Los Angeles, California - Hong Kong Headquarters: Hong Kong
(the "Company")*

TERMS OF REFERENCE OF THE AUDIT COMMITTEE

FINAL CORPORATE GOVERNANCE DOCUMENT

1 Membership

- (a)** The Audit Committee (the "Committee") shall be appointed by the Board of Directors (the "Board"). The Committee should consist of not fewer than three directors, with a majority of members being independent directors whenever practicable and appropriate for the Company's governance structure.
- (b)** At least one Committee member should have relevant accounting, audit, finance or financial-management experience sufficient to support effective oversight of financial reporting and internal controls.
- (c)** The Chair of the Committee shall be appointed by the Board and should be an independent director. The Board may review Committee membership from time to time as the Company's scale, financing arrangements and governance requirements evolve.
- (d)** No Committee member should participate in a matter where the member has a material conflict of interest. Any potential conflict shall be disclosed promptly and handled in accordance with Board policy and applicable law.

2 Attendance at Meetings

- (a)** The quorum for a Committee meeting shall be two members, unless the Board establishes a higher requirement. A majority of members participating in a meeting should be independent directors.
- (b)** The Committee may invite any director, executive officer, finance representative, external auditor, internal-control adviser, legal adviser or other person whose participation may assist the Committee in carrying out its responsibilities.

- (c) The person designated by the Company to support Board administration shall act as secretary of the Committee unless the Committee determines otherwise, and shall coordinate agendas, materials, minutes and follow-up items.
- (d) Committee members may participate in person or through telephone, video conference or other communications technology that allows all participants to hear and communicate with one another. Such participation shall constitute presence at the meeting.

3 Frequency of Meetings

The Committee should meet at least three times each year, or more frequently as circumstances require. Additional meetings may be requested by the Committee Chair, any Committee member, the Board, management, or the external auditor where a material financial-reporting, audit, control, risk or compliance matter warrants timely review.

4 Committee Resolutions

A written resolution approved by all Committee members shall have the same effect as a resolution passed at a properly convened meeting, to the extent permitted by applicable law and the Company's governing documents. Written resolutions may be executed and circulated electronically.

5 Authority

- (a) The Committee is authorised by the Board to review and investigate matters within these terms of reference and to request information reasonably required from directors, officers, employees, contractors and advisers of the Company.
- (b) The Committee may obtain independent legal, accounting, audit, valuation, cybersecurity, risk or other professional advice at the Company's expense when the Committee reasonably believes such advice is necessary to discharge its duties.
- (c) The Committee may request direct access to the Company's external auditor and may meet with the external auditor without management present when appropriate.
- (d) The Committee shall report to the Board any material suspected fraud, accounting irregularity, internal-control weakness, compliance concern, cybersecurity matter or other issue that the Committee believes requires Board attention.
- (e) The Committee shall be provided with adequate information, time, personnel support and other resources reasonably required to perform its responsibilities.

6 General Responsibilities

- (a) The Committee shall support the Board in overseeing the integrity of the Company's financial reporting, the effectiveness of financial controls, the independence and performance of the external audit process, and the Company's approach to material financial and compliance risks.
- (b) Consistent with the Company's stated emphasis on clear decision-making, project-level diligence, responsible risk management and compliance awareness, the Committee shall promote disciplined documentation and transparent escalation of material financial issues.
- (c) The Committee shall serve as a principal point of communication among the Board, management, the external auditor and any internal audit or internal-control function established by the Company.
- (d) The Committee shall review procedures through which employees and other appropriate persons may raise, in confidence and without retaliation, concerns relating to accounting, financial reporting, internal control, misuse of Company assets, conflicts of interest or other suspected misconduct.
- (e) The Committee shall oversee management's process for responding to significant audit findings, financial-control deficiencies and other matters identified by the Committee or the external auditor.

7 Duties

Relationship with the Company's external auditor

- (a) To review and make recommendations to the Board regarding the appointment, reappointment or removal of the external auditor, and to review the proposed scope, terms of engagement and fees for audit and audit-related services.
- (b) To evaluate the external auditor's independence, objectivity and professional competence, including any relationships or non-audit services that could reasonably be perceived as impairing independence.
- (c) To review the annual audit plan, timing, materiality considerations and significant areas of audit focus before the audit commences, and to discuss any significant changes to the plan during the audit.
- (d) To discuss with the external auditor significant audit findings, uncorrected misstatements, material weaknesses or significant deficiencies in internal control, disagreements with management and other matters that the auditor believes should be brought to the Committee's attention.

- (e) To review the nature and extent of permitted non-audit services provided by the external auditor and to consider whether such services are compatible with maintaining auditor independence.
- (f) To review any management letter or equivalent communication issued by the external auditor and to monitor management's timely response to material recommendations.

Review of the Company's financial information

- (g) To monitor the integrity, consistency and completeness of the Company's financial statements and other significant financial information provided to the Board, investors, lenders, strategic partners or other stakeholders.
- (h) In reviewing financial information, to consider in particular:
 - (i) the consistency and appropriateness of significant accounting policies and estimates;
 - (ii) areas involving significant management judgment or uncertainty;
 - (iii) material adjustments arising from audit or review procedures;
 - (iv) the Company's liquidity, cash-flow position, financing commitments and ability to continue planned operations;
 - (v) compliance with applicable accounting standards and financial-reporting requirements; and
 - (vi) whether financial information is presented in a balanced and understandable manner and appropriately reflects material risks and uncertainties.
- (i) To consider material financial implications associated with significant project-development commitments, power and infrastructure contracts, capital expenditures, financing arrangements and other transactions when such matters are referred to the Committee or Board.
- (j) To review material accounting or valuation judgments relating to energy infrastructure, digital infrastructure, technology assets, digital-asset activities or other assets and obligations that may require specialised expertise.

Oversight of financial controls, risk and compliance

- (k) To review the adequacy and effectiveness of the Company's financial-control environment, including processes relating to authorisation, segregation of duties, cash management, payment controls, financial close, record retention and access to financial systems.
- (l) To review management's framework for identifying, assessing, monitoring and escalating material risks that could affect the reliability of financial reporting or the safeguarding of Company assets.
- (m) To consider whether management has adequate personnel, systems, policies and professional resources to support accounting, financial reporting, tax compliance, treasury, project controls and related functions as the Company grows.
- (n) Where an internal audit function is established, to review its mandate, independence, staffing and work plan, and to monitor coordination among internal audit, external audit and management.
- (o) To review significant compliance matters with potential financial or reputational impact, including matters relating to corporate obligations, tax, energy and project development, data protection, cybersecurity, anti-fraud controls, sanctions, anti-money-laundering controls where relevant, and other applicable legal requirements.
- (p) To consider material whistleblower or ethics concerns involving accounting, financial reporting, Company assets, conflicts of interest or control failures, and to ensure that appropriate investigation and follow-up procedures are applied.
- (q) To review related-party transactions and potential conflicts of interest that are referred to the Committee, and to recommend appropriate safeguards or Board action where necessary.
- (r) To review, as appropriate, the financial-control implications of new business lines, material digital-asset activities, custody arrangements, treasury strategies or technology systems before significant deployment.
- (s) To report to the Board on significant matters reviewed by the Committee and to make recommendations for corrective action, policy changes or additional professional review where appropriate.
- (t) To perform any other financial-reporting, audit, control, risk or compliance responsibilities delegated to the Committee by the Board.

8 Reporting Procedures

- (a) Following each Committee meeting, the Committee Chair shall report to the Board on the principal matters considered, decisions taken, recommendations made and any matter requiring further Board action.
- (b) Minutes shall be prepared for all Committee meetings. Draft minutes should be circulated to Committee members for review within a reasonable period, and final minutes should be retained with the Company's corporate records.
- (c) The Committee shall maintain a record of significant follow-up items and may request periodic status updates from management, the external auditor or other responsible persons.
- (d) Where appropriate, the Committee may provide the Board with written reports concerning significant financial-reporting judgments, internal-control matters, audit findings, compliance issues or risk matters reviewed by the Committee.

9 Availability and Review of the Terms of Reference

- (a) These terms of reference should be reviewed periodically by the Committee and the Board, and revised when necessary to reflect changes in the Company's activities, governance structure, financing arrangements, risk profile or applicable legal and regulatory requirements.
- (b) Following Board adoption, the Company may publish these terms of reference, or an appropriate summary, on its corporate website or otherwise make them available to investors, lenders, strategic partners and other stakeholders as the Board considers appropriate.
- (c) Any amendment to these terms of reference shall become effective upon approval by the Board or on such later date as the Board may determine.
- (d) The Committee shall conduct its activities in a manner consistent with the Company's governing documents, Board resolutions and applicable law. In the event of any inconsistency, those higher-authority documents and legal requirements shall prevail.